STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Kansai Electric Power

Tokyo Stock Exchange: 9503 · Utilities / Electric utilities · Japan

Japan's nuclear leader is only modestly cheap once record 2025 profits are normalised

NEUTRAL	¥2,970	¥2,754	+8%
Rating	Base-case value	Price, 29 Oct 2026	Upside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Neutral: a unique nuclear fleet, but trailing earnings are a peak

OUR CALL

NEUTRAL

Target	¥2,970
Price	¥2,754
Upside	+8%
Horizon	12 months
Conviction	Medium

1

A unique asset

Seven reactors (6,578 MW): 45% of Japan's operating nuclear capacity.

45%

of Japan's operating nuclear

2

Trailing earnings are a peak

FY2025 had an 84% capacity factor and fuel time-lag gains; FY2026 guide −44%.

−44%

FY2026 ordinary profit guide

3

Returns steady, not large

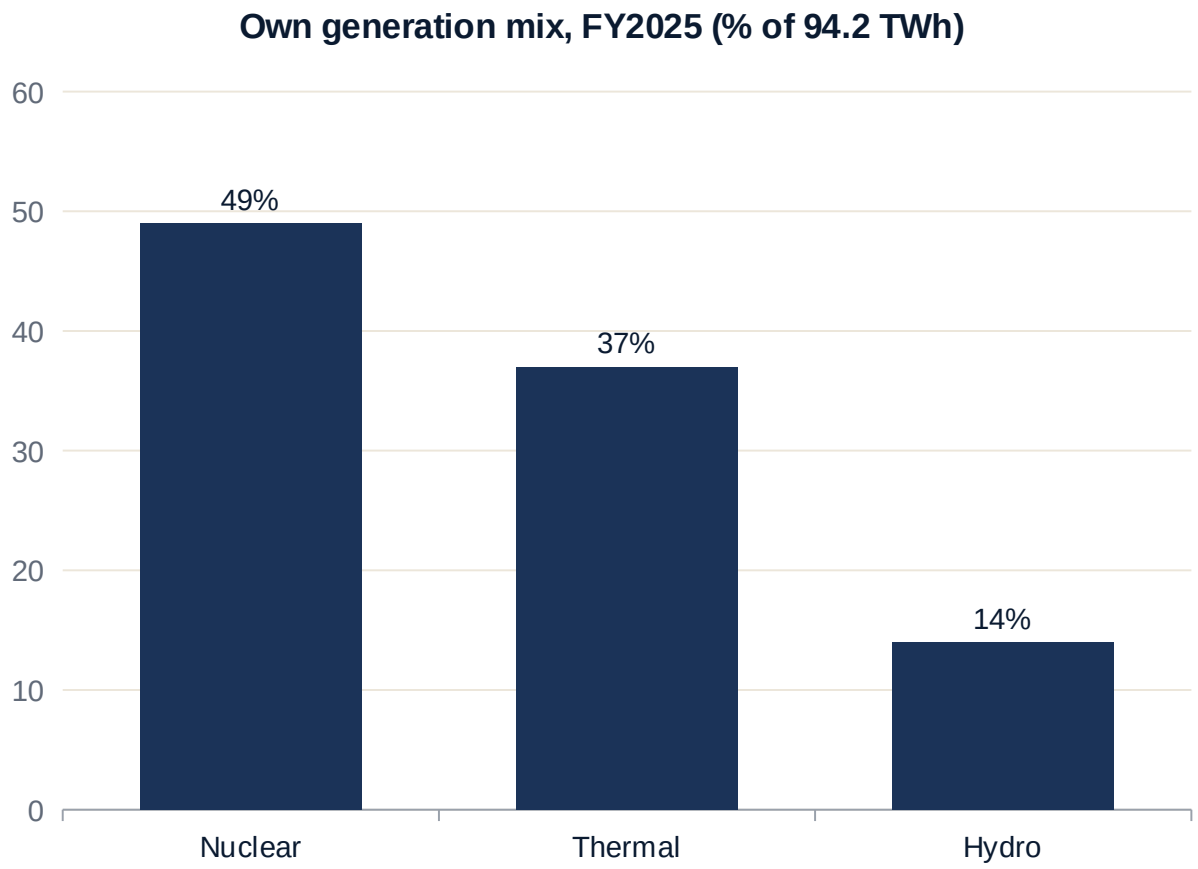
25-35% payout, progressive dividend (¥80 guided).

2.9%

dividend yield

Source: Kansai Electric FY2025 results, Management Plan 2026; price and P/B third-party (29 Oct 2026).

Half of its own power is nuclear: availability drives the profit



Energy

Generation, retail and gas: ¥377bn of the ¥519bn FY2025 ordinary profit.

Transmission & distribution

Regulated network: ¥63bn; revenue cap raised from November 2026.

ICT and real estate

Optage fibre and data centres; more than ¥550bn of property to recycle.

Source: Kansai Electric FY2025 Financial Report (30 Apr 2026).

Outages, oil and the yen swing the year; demand does not

62.7%

Nuclear capacity factor, H1 FY2026

Against 77.2% a year earlier: outages are the main swing.

$108

Crude, H1 FY2026 average

Against an $80 plan; fuel costs pass through with a 3-5 month lag.

¥160/$

Yen

Each ¥1 against the dollar is about −¥1.2bn of profit.

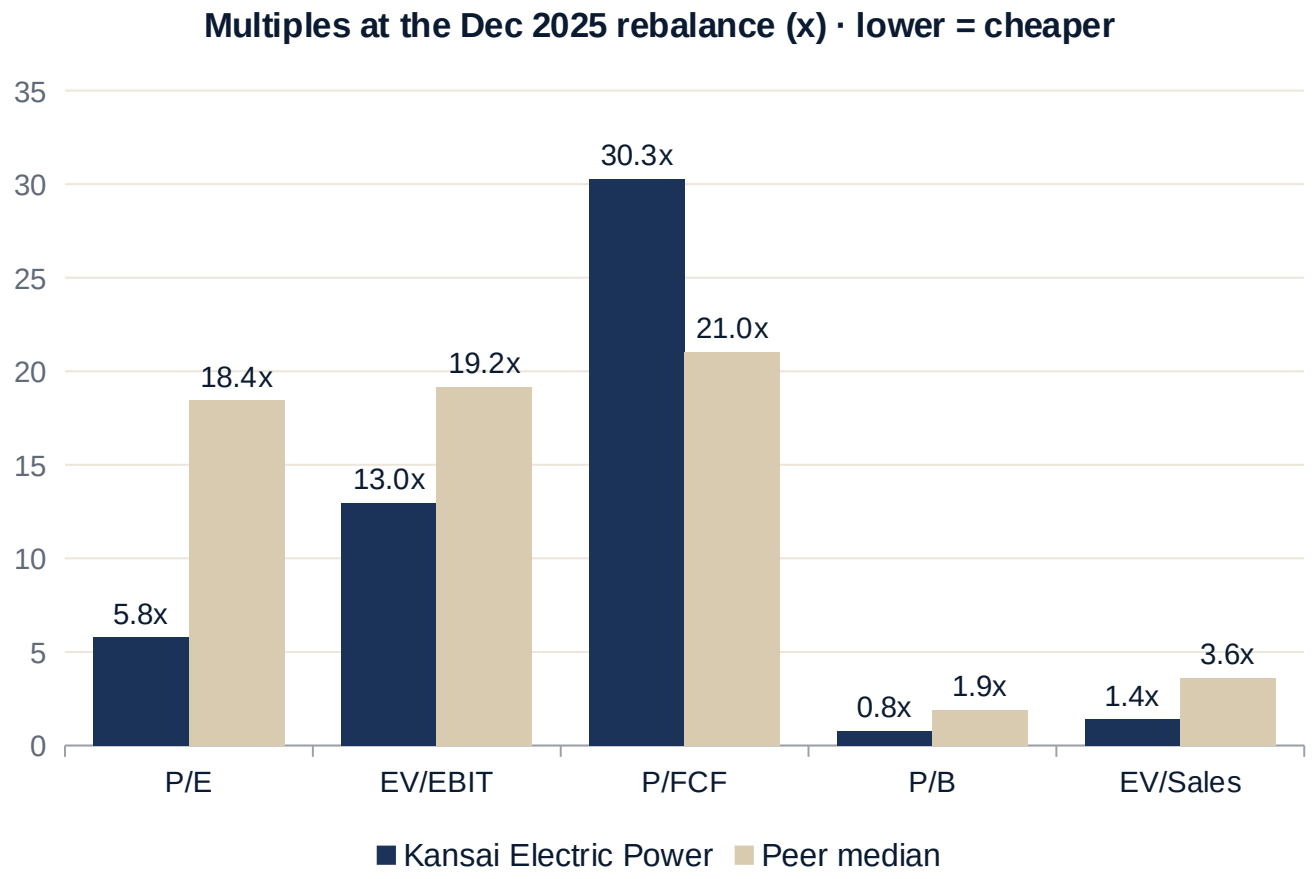
Flat

Kansai-area demand

133.7 TWh in FY2025, 133.1 TWh forecast: no data-centre boom yet.

WHY THE SCREEN PICKED IT

Ranked 1 of 59 in Utilities, but on peak FY2024-25 earnings



1 / 59

Value rank in its sector

Earnings-to-price z = +4.0; FCF yield only +0.9 (heavy capex).

2 / 10

Rebalances held (since Jun 2025)

H1 2026 return −6.4% vs +10.8% for MSCI World.

Not held, June 2026

In the 70/30 value strategy

Japan and Utilities are not core lines; Enel is the utility in the satellite.

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2025-03, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

Cheap on peak earnings, fair on normal ones

THE MARKET SAYS	WE SAY
“Data centres will drive a demand boom.”	Area demand is flat: 133.7 TWh in FY2025, 133.1 TWh forecast.
“The H1 drop is temporary.”	Partly: the fuel lag reverses, but outages and ¥2.5tn of capex are structural.
“At 0.85x book it must be cheap.”	Only if ROE holds near 9%; normalised ROE is closer to 6-7%.

FINANCIALS

Profit halves in FY2026 by the company's own guide

	FY2024	FY2025	H1 FY2026	FY2026 guide
Ordinary profit	**¥532bn**	**¥519bn**	**¥112bn**	**¥290bn**
Net profit	¥420bn	¥380bn	¥183bn*	¥310bn
EPS	¥436	¥341	—	¥278
DPS	—	¥75	¥40 interim	¥80
Free cash flow	¥233bn	¥80bn	−¥300bn	—

WHAT TO WATCH

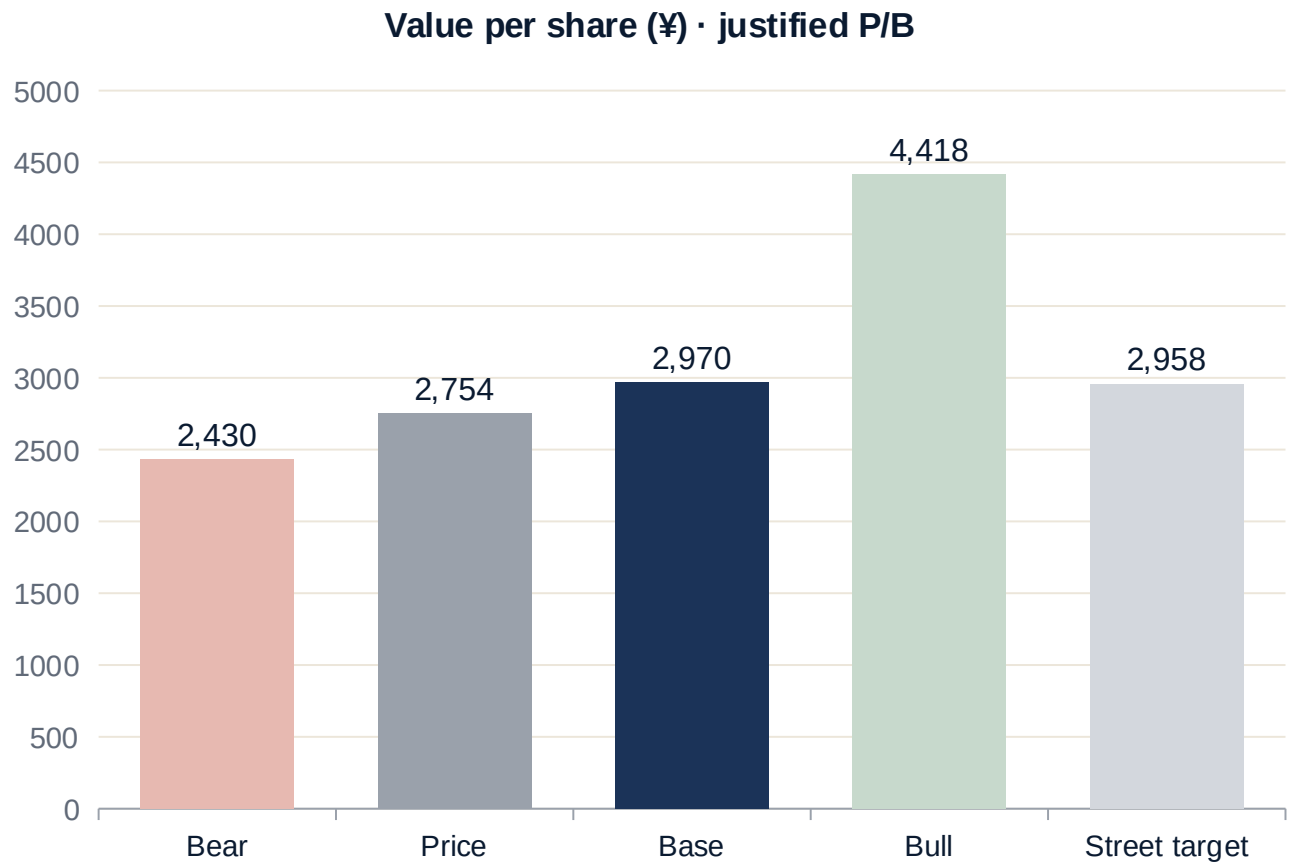
Late Jan 2027

Q3 FY2026: does the fuel time lag reverse as crude eases, and are reactors back above 70%?

*Source: Kansai Electric FY2025 and H1 FY2026 results. *Includes a ¥105bn gain on Kinden shares. FY ends 31 March.*

VALUATION

¥2,970 base case: about 0.9x book on a normalised 6.5% ROE



HOW WE GET THERE

Justified price to book

1 **(ROE − g) / (CoE − g)**

Base: 6.5% ROE, 7% cost of equity, 1% growth → 0.92x.

2 **Bear ¥2,430, bull ¥4,418**

5.5% ROE; or the plan's 8.5% at a 6.5% cost of equity.

3 **+8%: Neutral**

Within −10% to +15%: we keep the model weight.

Source: own valuation; book per share implied by the third-party P/B (29 Oct 2026), to be confirmed on Bloomberg.

CATALYSTS

Reactor availability and the fuel lag decide the next prints

1 Nov 2026

HARD

Wheeling tariff uplift

Revenue cap raised by ¥149.6bn.

Late Jan 2027

HARD

Q3 FY2026 results

Fuel time lag and reactor restarts.

End Apr 2027

HARD

FY2026 results

FY2027 guide and the dividend.

FY2026-28

SOFT

Asset sales

¥230bn of a ¥380bn+ target done.

The number to watch: a nuclear capacity factor back above 70%.

RISKS

Two-sided risks: we would move either way on clear signals

Outages or court injunctions

Japan's largest fleet across three sites.

¥2.5tn of capex and an equity raise

More than ¥550bn of asset recycling.

Fuel and yen

Costs pass through with a lag.

WE MOVE THE CALL IF

- → Upgrade: ROE guided back above 9% with capacity factor above 75%
- → Downgrade: a new equity raise or a nuclear injunction
- → Downgrade: the progressive dividend is abandoned

NEUTRAL

Base case ¥2,970 · +8%

A great asset at about a fair price once 2025 is normalised

45%	0.85x	−44%
of Japan's nuclear	**Price / book**	**FY2026 profit guide**
operating capacity	third-party, 29 Oct	ordinary profit

Questions?

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Sources and disclosures

[K1] Kansai Electric Power, *FY2025 Financial Report* (results presentation), 30 Apr 2026

[K2] Kansai Electric Power, *Q1 FY2026 Financial Report*, 31 Jul 2026

[K3] Kansai Electric Power, *Q2 FY2026 Financial Report*, 29 Oct 2026

[K4] Kansai Electric Power Group, *Management Plan 2026: Kanden Transformation toward 2040*, April 2026

[K5] Kansai Electric Power, *Notice Regarding Revision of Shareholder Return Policy*, 30 Apr 2026

[K6] Kansai Electric Power, notice on the sale of Kinden shares in the tender offer, 2 Jun 2026

[K7] World Nuclear News, "Kansai begins surveys of Mihama site for new reactor", Nov 2025

[K8] BNN Bloomberg, "Kansai Electric to raise up to $3.3 billion from share sale", 13 Nov 2024

[K9] StockAnalysis.com, 9503 quote and statistics (third-party, delayed), 29 Oct 2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

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